CSIS CHINA PROGRAMS

China Daily Brief

Friday, October 30, 2026

3,010 words · 12 min read

RE: Fifth Plenum purge & Zhang Shengmin's Politburo rise · Nvidia-Huang spy claims · PLA naval buildup · BYD profit miss

USD/CNY	SSE COMPOSITE	HANG SENG	BRENT
6.6419	3,599.02	23,294.42	$113.67
▼ -0.54%	▼ -2.66%	▲ +0.87%	▼ -1.85%

IN THIS ISSUE Top Stories · US-China · The World · Beijing · Markets · Statements · Analysis · Overnight · The Wire · Upcoming

TODAY AT A GLANCE

1. Beijing's Fifth Plenum communique locks in tighter party discipline and confirms the expulsion of 33 senior officials, including former diplomat Liu Jianchao.
2. Zhang Shengmin, the general who ran the PLA's internal anti-corruption purge, is elevated to the Politburo as CMC vice chairman.
3. WSJ and NYT report a Chinese executive close to Nvidia CEO Jensen Huang is suspected by US intelligence of relaying information to Beijing; MOFA calls the report 'groundless speculation.'

TOP STORIES

PLA

Beijing Confirms Record Expulsion of 33 Officials as Xi's Purge Deepens

China's Communist Party confirmed the expulsion of *33* senior officials, including former senior diplomat **Liu Jianchao** and ex-**Xi Jinping** military secretary Zhong Shaojun, at the close of the Fifth Plenum. Many of those named had been missing from public view for months or longer without official explanation, the New York Times reported.

NYT, OCT 29 2026

TECHNOLOGY

Chinese Executive Close to Nvidia's Jensen Huang Suspected of Giving China Information

US intelligence concluded a Chinese executive tied to Singapore-based data-center firm Megaspeed developed a close relationship with **Jensen Huang** and may have relayed insight on US AI policy to Beijing, per WSJ and NYT. **Trump** was briefed roughly a year ago and chose not to act; MOFA spokesman Guo Jiakun called the report 'groundless speculation' and 'an attempt to smear China.'

WSJ / NYT / AFP, OCT 29-30 2026

CROSS-STRAIT

Taiwan NSC Chief Maps 53 Chinese Vessels Spanning Japan to the Philippines

NSC Secretary-General **Joseph Wu** posted a map showing *53* Chinese naval and coast guard vessels, 34 of them warships, including the carrier Liaoning, stretching from southern Japan to Taiwan and off the Philippines. 'The simultaneous threat to Taiwan, Japan and the Philippines is obvious,' Wu said.

TAIPEI TIMES, OCT 30 2026

PRC-ECONOMY

BYD Profit Growth Slows as Export-Led Recovery Loses Steam

BYD's Q3 net profit rose roughly *28 percent* year-on-year per Nikkei, but missed analyst estimates as the automaker's export surge failed to fully offset weakening domestic demand. FT called the overseas expansion's rising importance a response to 'roadblocks in domestic market.'

BLOOMBERG / REUTERS / FT / NIKKEI ASIA, OCT 29 2026

DIPLOMACY

China-Switzerland Trade Deal Signed as Xi Hosts Swiss President

Xi Jinping met Switzerland's federal president in Beijing as the two countries signed a cooperation document, bucking the broader trend toward protectionism, per Reuters. The agreement follows

> Beijing's parallel courting of European leaders this week, including a welcome ceremony for German President Steinmeier.
>
> REUTERS, OCT 29 2026

OVERNIGHT

HONG KONG

Hong Kong Leader Apologises for Deadly Tai Po Fire, Pledges Reform · Reuters China

Chief Executive **John Lee** apologized for the deadly Tai Po apartment fire and announced his housing secretary would step down after an inquiry found departments had overlooked fire hazards. Lee defended the government's broader handling even as he pledged reform.

TECHNOLOGY

Cathay Pacific Says 53,000 Bookings Compromised in Amadeus Cyberattack · SCMP

Cathay Pacific revealed personal data and flight details from *53,000* bookings were exposed after hackers breached technology provider Amadeus IT Group, which serves hundreds of airlines worldwide. The unauthorized access occurred between August 2023 and September 2026.

DEFENSE BUDGET

Inside the Breakdown of Trump's $1.5 Trillion Pentagon Plan · WaPo China

The Washington Post examines internal strains in the administration's $1.5 trillion Pentagon spending plan. Further detail on China-specific force-posture implications was not available in the published summary.

FINANCE

Chinese Junk Dollar Bonds Head for Worst Week in a Year on Huafa · Bloomberg China

Chinese high-yield dollar bonds are on track for their worst week in a year, Bloomberg reported, driven by stress around developer **Huafa**. The selloff points to renewed strain in property-linked credit.

ENERGY

China's Oil Majors Get More Firepower for Energy Security Push · Bloomberg China

Bloomberg reports Chinese state oil majors are getting additional capital and policy support as part of Beijing's energy-security drive. The push coincides with China building gas and fuel buffers ahead of winter.

AUTOS

Earnings Give European Auto Stocks Respite as China Reshapes Industry · Reuters China

European automakers' latest earnings offered brief investor relief even as Chinese competition continues to reshape the global auto industry, Reuters reported. The respite comes alongside Volkswagen's widened Q3 operating loss.

CONSUMER

China's Homegrown Cosmetics Contenders Face Battle to Glow Up · FT China

FT profiles Chinese beauty brands **Yatsen** and Proya as they push into cosmetics markets still dominated by foreign incumbents. Domestic competition and thin margins complicate the overseas expansion.

TECHNOLOGY

Malaysia Becomes Crossroads of US-China AI Data Center Boom · NYT China

US and Chinese tech giants are pouring billions into Malaysian data centers, straining local power and water resources while testing the limits of Washington's chip-export restrictions, per NYT. The buildout underscores Southeast Asia's role as an AI-infrastructure workaround hub.

US–CHINA

LEGAL · REUTERS CHINA

FCC Votes to Ban All Chinese Labs From Testing US Electronics

The FCC voted to bar Chinese laboratories from certifying US electronics for sale, closing what it called a national-security loophole. The move follows a string of 2026 actions restricting Chinese firms' access to the US telecom and device-testing supply chain.

LEGAL · REUTERS CHINA

US Plans to Ban Chinese Telecom Firms From Direct Access to US Phone Numbers

Washington is preparing to bar Chinese telecom carriers from directly obtaining US phone numbers, part of a broader push to limit PRC firms' access to US communications infrastructure. The move lands the same week as the FCC testing-lab ban and the new BGI genomics import ban.

ENTITY LIST · TAIPEI TIMES

US Bans Imports From Three Chinese Genomics Firms Over Xinjiang Forced Labor

DHS added **BGI Genomics**, MGI Tech and Shenzhen BGI Technology to the Uyghur Forced Labor Prevention Act Entity List, saying they 'helped collect genetic material used to track persecuted ethnic minorities.' MOFCOM called the ban baseless and vowed countermeasures.

MILITARY · TAIPEI TIMES

US Army Pacific Prepares for Possible 2027 Taiwan Conflict

USARPAC commander Gen. **Ronald Clark** said the 'Davidson window', the timeframe for possible Chinese military action against Taiwan, remains valid, and the Army is rotating forces and equipment west of the International Date Line under its 'Army Ready Forward' initiative. The window traces to a 2021 warning by then-INDOPACOM chief Adm. Philip Davidson.

DIPLOMACY · TAIPEI TIMES

Palantir's Gallagher Warns AI Race Raises Taiwan Invasion Stakes

Palantir defense head **Mike Gallagher** said advances in AI make 'the logic of Xi Jinping sacrificing enormously to take Taiwan... more compelling,' citing TSMC's chokepoint role. Chinese embassy spokesman Liu Chang said 'the Taiwan question is China's internal affair' and urged the US to 'act prudently.'

CHINA & THE WORLD

CROSS-STRAIT · NIKKEI ASIA CHINA

Pakistan's 24-Hour Reversal on Taiwan Airline Overflight Ban Fuels Squeeze Fears

Pakistan briefly barred Taiwan's China Airlines and EVA Air from its airspace citing its 'one China policy' before restoring overflight permits hours later, through Mar 27, 2027. At least 12 China Airlines Europe-bound flights had already rerouted over Russia to avoid the airspace.

CROSS-STRAIT · TAIPEI TIMES

Analysts: PLA Warship Activity Signals Integrated First Island Chain Operations

Tamkang University's **Lin Ying-yu** said PLA naval movements from the northern, eastern and southern theater commands reflect a unified 'First Island Chain theater' rather than separate drills, citing the Liaoning carrier group's passage through the Miyako Strait toward the Philippine Sea. He added that focus on the carrier 'should not overshadow' the Type 055 destroyer's presence.

ASEAN · REUTERS CHINA

Philippines-China Tensions Resurface at Close of ASEAN Defence Gathering

Beijing accused a Philippine politician of obstructing its participation in the ASEAN defence ministers' gathering in Cebu on Oct 29, where US Defense Secretary **Pete Hegseth** attended in person while China sent only a defense attache. The spat follows months of friction over South China Sea maritime disputes.

ASEAN · CNA CHINA

China Conducts Combat-Readiness Patrols Around Scarborough Shoal

China's Southern Theater Command and coast guard conducted 'combat readiness patrols' around Scarborough Shoal, calling them a 'necessary countermeasure' to Philippine 'rights-violation and provocative acts.' The patrol coincides with heightened PLA naval activity across the First Island Chain.

ASEAN · 中国时报 (CHINA TIMES ZH)

Retired Taiwan Navy Ship Donated to Philippines Amid ASEAN Rift

Taiwan transferred its retired Kinmen-class patrol vessel to the Philippine Coast Guard via a civilian organization, drawing disputes over usage limits and fishing rights. The donation coincided with Beijing's downgraded ASEAN defence-meeting attendance versus the in-person appearance by the US defense chief.

JAPAN · NYT CHINA

Japanese Spy Drama 'Vivant' Draws Beijing's Ire

Chinese state media has intensified criticism of 'Vivant,' a Japanese thriller featuring Chinese spies, with the show's creators defending it as 'completely fictional,' per NYT. The backlash follows weeks of tension between Beijing and Tokyo over Prime Minister **Sanae Takaichi**'s security posture.

KOREA · REUTERS CHINA

Chinese EVs Gain Ground in South Korea, Struggle in Japan

Chinese electric-vehicle makers are winning converts in South Korea even as they face a 'rougher road' in Japan's more protected auto market, Reuters reported. The divergence highlights differing regulatory and consumer barriers across Northeast Asia.

EUROPE · 解放军报 (PLA DAILY ZH)

Xi Holds Welcome Ceremony for German President Steinmeier

Xi Jinping held a welcome ceremony in Beijing on Oct 30 for German President Steinmeier's state visit, per Xinhua. The visit comes the same week Xi hosted Switzerland's federal president for a cooperation-document signing.

LATIN AMERICA · TAIPEI TIMES

Saint Lucia PM Seeks Deeper Taiwan Ties on Five-Day State Visit

Saint Lucian Prime Minister **Philip Pierre** met President Lai Ching-te in Taipei and called for expanded scholarships and a new cultural center, citing *19 years* of bilateral friendship. More than 400 young people from Saint Lucia have studied in Taiwan under existing programs.

STAT OF THE DAY

-2.66%

SSE Composite decline today despite AI-sector strength

Chinese investors rotated into long-bond ETFs and Hong Kong outflows accelerated even as chip and AI earnings held up, per Bloomberg and CNN coverage of the divergence.

CNN / Bloomberg

ECONOMY & BUSINESS

PROPERTY / PAG, CHINA EVERGRANDE, EVERGRANDE PROPERTY SERVICES · FT CHINA

PAG Agrees to Buy Evergrande Property Unit for $513 Million

Hong Kong-based private equity firm **PAG** offered *$513 million* to liquidators of China Evergrande's property-services arm, which FT called 'a rare win for creditors' of the world's most indebted developer. The deal gives PAG a 51 percent stake, per Bloomberg and Nikkei.

ENERGY · REUTERS CHINA

China Set to Lose LNG Import Crown to Japan on Weak Demand

Weak domestic gas demand is set to push China behind Japan as the world's top LNG importer, Reuters reported, as Beijing builds gas-storage buffers ahead of winter.

FINANCE · BLOOMBERG CHINA

Hong Kong Stocks Lose a Key Backer as Chinese Investors Head for Exit

Mainland Chinese investors are pulling back from Hong Kong equities, removing a major source of support for the market, Bloomberg reported, alongside today's *2.66 percent* SSE Composite decline.

FINANCE · BLOOMBERG CHINA

Chinese Investors Seek Shelter in Long-Bond ETFs as Stocks Sink

Domestic investors are rotating into long-dated government bond ETFs as mainland equities slide, Bloomberg reported, even as the Hang Seng gained 0.87 percent today.

MACRO · CNN CHINA

China's AI and Tech Boom Isn't Saving Its Stock Markets

CNN reports the global AI boom sustaining China's economic momentum this year has failed to offset 'domestic woes, particularly in its stock market,' highlighting a gap between tech-sector strength and macro sentiment.

AUTO / TOYOTA, HONDA, NISSAN · NIKKEI ASIA CHINA

Toyota, Honda, Nissan Slash China Output as Gasoline Car Market Shrinks

Japanese automakers continue cutting China production as demand for gasoline vehicles fades and intelligent-EV technology from domestic rivals advances, Nikkei reported.

MANUFACTURING / ROCHE, ASTRAZENECA, NOVARTIS · BLOOMBERG CHINA

China Upends Global Drug Development With Cheap, Rapid Human Trials

China's low-cost, fast-turnaround clinical-trial infrastructure is drawing Western drugmakers including Roche, AstraZeneca and Novartis, Bloomberg reported, raising questions for regulators about trial-data provenance.

WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · FRIDAY, OCTOBER 30, 2026

中国人民银行 · PBOC · *PBOC statement (no individual spokesperson named in source)*

Shifts to daily overnight reverse repo auctions

The PBOC will conduct overnight reverse repo tenders every business day starting *Nov 2*, with 7-day operations reserved for tax periods and month-end, as it moves toward using the overnight rate as its main policy rate.

→ PBOC ZH ↗

商务部 · MOFCOM

Issues notice to further liberalize Hainan Free Trade Port trade rules

MOFCOM and three other departments jointly issued a notice aimed at raising trade liberalization and facilitation standards in the Hainan Free Trade Port.

→ MOFCOM / 中国贸易救济信息网 ↗

国防部 · MND

Southern Theater Command patrols near Scarborough Shoal

PLA Southern Theater Command forces conducted a combat-readiness patrol in the territorial waters and airspace around Huangyan Dao (Scarborough Shoal); China Coast Guard ran a parallel law-enforcement patrol in the same area.

→ MND ZH ↗

国台办 · TAO · *Chen Binhua, TAO spokesperson*

Reports continued implementation of 10 cross-strait measures

Chen Binhua said Beijing continues expanding market access for Taiwanese agricultural and fishery goods, including pomelo and sugar-apple sales on the mainland, under the April 12 ten-point package.

→ TAO ZH / Sohu ↗

商务部 · MOFCOM

Holds third China-Sweden green transition investment working group meeting

MOFCOM convened the third session of the bilateral China-Sweden green transition investment working group in Sweden, continuing the clean-energy investment cooperation mechanism.

→ MOFCOM ZH ↗

PERSONNEL CHANGES

Zhang Shengmin APPOINTED
CMC Vice Chairman / Politburo member

Appointed to the Politburo after leading the PLA's internal anti-corruption purge as CMC vice chairman; follows the Oct 2025 expulsion of predecessors He Weidong and Miao Hua.

Succeeds: He Weidong / Miao Hua (expelled Oct 2025)

Liu Jianchao EXPELLED

Former CCP International Department head

Confirmed expelled from the party at the close of the Fifth Plenum after not being seen publicly since Jul 2025; NYT describes him as a 'prominent former diplomat.'

Zhong Shaojun EXPELLED

Former secretary to Xi Jinping (military)

Expelled from the party, per NYT Chinese, among the 33 officials named; had served as Xi Jinping's military secretary.

NPC / POLITBURO WATCH

FIFTH PLENUM, 20TH CENTRAL COMMITTEE

Releases communique incorporating Xi Jinping Thought on Party Building

The communique frames 'full and rigorous Party self-governance' as an integrated system to control members, supervise officials and implement decisions, per Sinocism; study campaigns on the Plenum and the 21st Party Congress are expected to follow.

POLITBURO, CCP CENTRAL COMMITTEE

Zhang Shengmin appointed to Politburo

Zhang Shengmin, CMC vice chairman who led the military's anti-corruption purge, was appointed to the Politburo as the party tightens discipline, per FT. The appointment follows the Oct 2025 expulsion of former CMC vice chairmen He Weidong and Miao Hua.

FIFTH PLENUM, 20TH CENTRAL COMMITTEE

Communique vows officials will have no 'audacity, opportunity, or desire to commit corruption'

The plenum communique highlighted 'unwritten rules' as a key issue to address, per SCMP, as Xi renewed a years-long anti-corruption drive.

FIFTH PLENUM, 20TH CENTRAL COMMITTEE

Plenum sees record expulsions and attendance absences

Reuters reported the conclave on toughening party discipline saw record-low attendance alongside the surprise Politburo appointment and the record expulsions.

WHAT BEIJING IS SAYING

外交部 · MOFA · NYT REPORT ALLEGING CHINESE ESPIONAGE TARGETING NVIDIA CEO JENSEN HUANG

FIRM · TO US

Guo Jiakun '· MOFA spokesperson

“The report in question is based on groundless speculation and is nothing more than an attempt to smear China.”

捕风捉影，纯属对中国的污蔑抹黑。

AFP and NYT reported US intelligence suspected a Chinese executive close to Nvidia CEO Jensen Huang of relaying information to Beijing.

AFP

使馆 · EMBASSY · PALANTIR WARNING ON AI AND A POSSIBLE CHINESE MOVE ON TAIWAN

FIRM · TO US

Liu Chang '· Chinese embassy spokesperson, Washington

“The Taiwan question is China's internal affair. Stronger cooperation between enterprises on both sides of the Taiwan Strait in semiconductors and other fields is the right path toward mutual benefit and win-win outcomes.”

Response to Palantir defense head Mike Gallagher's remarks that AI-driven competition makes a Chinese move on Taiwan 'more compelling.'

Taipei Times

国台办 · TAO · TAIWAN DEFENSE MINISTRY INVITING THE US TO OBSERVE MILITARY EXERCISES

WARNING · TO TAIWAN

TAO

“Attempting to 'seek independence by relying on external forces' is a dead end.”

妄图“倚外谋独”是死路一条

Response to Taiwan's defense ministry inviting US observers to planned military exercises.

中华网 citing 国台办

国防部 · MND · COMBAT-READINESS PATROL AROUND SCARBOROUGH SHOAL

WARNING · TO PHILIPPINES

PLA Southern Theater Command

“necessary countermeasure in response to the Philippines' rights-violation and provocative acts”

Patrol announced as Manila and Washington deepened defense cooperation at this week's ASEAN defence ministers' meeting in Cebu.

CNA

WHAT OTHERS ARE SAYING

TAIPEI TIMES · OCT 30 2026

Joseph Wu · Taiwan NSC Secretary-General

“We are staying vigilant about their activities. The simultaneous threat to Taiwan, Japan and the Philippines is obvious.”

Wu posted a map showing 53 Chinese vessels, 34 of them warships, spanning from southern Japan to the Philippines.

source

TAIPEI TIMES · OCT 30 2026

Mike Gallagher · Palantir Technologies head of defense, former House Select Committee on the CCP chair

“The logic of Xi Jinping sacrificing enormously to take Taiwan is getting more compelling.”

Gallagher argued Taiwan's TSMC chokepoint role in AI chips has heightened Beijing's incentive to act.

source

STARS AND STRIPES VIA TAIPEI TIMES · OCT 30 2026

Ronald Clark · US Army Pacific commanding general

“The answer for us at USARPAC is yes.”

Clark was responding to whether the 'Davidson window', the 2027 timeframe for possible Chinese action against Taiwan, remains valid for Army planning.

source

TAIPEI TIMES · OCT 30 2026

Philip Pierre · Prime Minister of Saint Lucia

“This is why the people of St Lucia are so appreciative of the scholarships you continue to offer our students.”

Pierre spoke during a meeting with President Lai Ching-te on a five-day state visit to Taiwan.

source

THE WIRE

TECHNOLOGY

NYT CHINA

Chinese Startup Uses AI Lasers to Target Mosquitoes

A Chinese startup claims its AI-and-laser system can track and destroy mosquitoes while avoiding people and pets, using sensors developed for self-driving cars, per NYT.

观察者网 (GUANCHA ZH)

China's Gallium-Nitride Chipmakers Chase AI Data-Center Demand

Guancha reports China's GaN power-semiconductor makers are pivoting from saturated fast-charger markets toward automotive and AI-server power supplies as margins compress.

PRC-ECONOMY

ECONOMIST CHINA

Beijing Moves to Curb China's City-Ranking Obsession

The Economist reports Chinese authorities are moving to discourage the popular practice of ranking cities by GDP and other metrics.

ECONOMIST CHINA

China's Transport-Infrastructure Investment Has Peaked

The Economist finds China's decades-long transport-infrastructure buildout has passed its peak as the economy shifts toward services and high-tech manufacturing.

SCMP

Hong Kong's Push to Make the Yuan Part of Everyday Life

SCMP examines Hong Kong's drive to expand yuan use in retail payments, government spending and cross-border trade under Chief Executive John Lee's latest five-year plan.

CROSS-STRAIT

美国之音中文 (VOA CHINESE ZH)

Taiwan Watches US Midterms for Signs of Shifting Support

VOA Chinese reports Taiwan officials are watching the Nov 3 US midterm elections closely, questioning whether cross-party support for the island will translate into concrete policy.

DIPLOMACY

澎湃新闻 (THE PAPER ZH)

Chinese Scholar Zhu Feng: 'Kissinger's Era Has Passed'

Nanjing University's Zhu Feng argues in a China-US intergenerational dialogue that Kissinger's era is over and his diplomatic legacy needs reinterpreting, per The Paper.

UPCOMING

Nov 3

US midterm elections

Control of Congress at stake; House Select Committee on the CCP composition could shift depending on outcome.

Nov 10

Busan-deal suspensions approach lapse

The one-year suspensions of the BIS Affiliates Rule and China's Oct 2025 rare-earth export controls are due to expire around this date unless extended.

Nov 11

PLAAF 77th anniversary tied to 16th Zhuhai Airshow

MND says activities will be organized around the theme 'tracing roots, building dreams' linked to the China Airshow.

Nov 18

APEC Economic Leaders' Meeting, Shenzhen

China hosts; Trump attendance and any Trump-Xi meeting on the margins remain unconfirmed.

Nov 28

Taiwan nine-in-one local elections

22 mayors and magistrates and roughly 11,000 offices up for election, read as a mid-term referendum on President Lai.

CSIS China Programs

CHINA DAILY BRIEF

Washington, D.C.

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